

Block 4

Financial Markets

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UNIT 10 MONEY MARKETS

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10.0 OBJECTIVES

Having completed this unit, you will be able to:

- explain the concept of the money market;
- spell out the composition of the money market;
- highlight the importance, role and functions of the money market in an economy;
- identify requisites of a good money market;
- describe the Indian money market;
- analyse the various regulatory mechanisms governing the working of the money market in India; and
- indicate the problems of the Indian money market.

10.1 INTRODUCTION

As we have learnt in previous block that financial institutions, financial markets and instruments together constitute the financial system. Thus, financial markets are one of the important constituents of financial system. The financial markets of all economies are broadly subdivided into two parts: (i) *Money Market*, and (ii) *Capital Market*. Both these markets provide avenues to surplus sectors such as households and institutions to deploy their funds and opportunity to corporate and government sectors to mobilize funds for their requirements. Financial markets across the world are organised differently to serve the need to save, borrow, invest, transact, and insure. They vary on regulations, ownership type, level of consolidation, etc.

The money market refers to a section of the financial market having financial instruments with high liquidity and short-term maturities that usually range from overnight to just under a year such as treasury bills and commercial papers.

The money market is considered a safe place to invest due to the high liquidity of securities. It has certain risks which investors should be aware of, one of them being default on securities such as commercial papers. The money market consists of various financial institutions and dealers, who make available to a broad range of borrowers and investors the opportunity to buy and sell various forms of short-term securities. The money market gives lesser returns to investors who invest in it but provides a variety of products. Withdrawing money from the money market is easier. The presence of an active and vibrant money market is an essential prerequisite for the growth and development of an economy. This unit will throw light on the various facets of the money market along with the structure and functions of the Indian money market.

The *money market* being an important segment of the financial market, not only reflects the impact of liquidity mismatch in the system but also operates as the first leg in transmitting monetary policy changes to the other parts of the financial system. In an integrated financial system, the occurrence of an event in one market of the financial system will have an impact on the other market of the system.

The money market *enables asset-liability management* in commercial banks. It provides an avenue for short-term investment in respect of cash held to maintain sufficient liquidity through its many *sub-markets*. The larger the number of sub-markets the broader and more developed the structure of the money market. The interest rates and the conditions prevailing in the money market influence the *rate of interest* and mobilization of resources in the capital market, the foreign exchange market and the gilt securities market. Thus, the development of these markets, to a large extent, is dependent on the development of the money market. The money market largely is a tool for the

development of industry, infrastructure, agriculture, trading and commerce in any country.

10.2 CONCEPT AND FEATURES OF MONEY MARKET

10.2.1 Concept of Money Market

A money market is a market for short-term money and financial assets that are close substitutes for money. By the term 'Short-term' in the Indian context, it means a period of up to one year. *According to the Reserve Bank of India*, a money market is 'the centre for dealings, mainly of short-term character, in money assets. It meets the short-term requirements of borrowers and provides liquidity or cash to the lenders. It is the place where short-term surplus investible funds at the disposal of financial and other institutions and individuals are bid by borrowers' agents comprising institutions and individuals and also the government itself. The money market is essentially an over-the-phone market where transactions are conducted online or through telephonic communication with or without the help of brokers to be followed subsequently by written documents and exchange of instruments. It is a mechanism to clear short-term monetary transactions in an economy.

Individuals, institutions, and the government are economic agents that participate in the money market. These agencies create demand for money and also ensure the supply of money for a short-term period. The demand for money emanates from merchants, traders, brokers, manufacturers, speculators and even government institutions. The suppliers include commercial banks, insurance companies, non-banking financial concerns and the Central Bank of the country. The money market consists of many *sub-markets*. According to *Vaghul Committee*, "*The money market is a market for short-term financial assets that are close substitutes for money. The important feature of money market instruments is that it is liquid and can be turned over quickly at low cost, and it provides an avenue for equilibrating the short-term surplus funds of lenders and the requirements of borrowers.*"

10.2.2 The Distinctive Features of the Money Market

- i) The money market consists of negotiable instruments. It is used by many participants, including companies, to raise funds by selling commercial papers in the market. The money market is considered a safe place to invest due to the high liquidity of securities.
- ii) The money market is a market for short-term financial assets which can be turned over quickly at a low cost. It provides an avenue for equilibrating the short-term surplus funds of lenders and the requirements of borrowers.
- iii) It is one market but a collection of markets, such as, call money, notice money, repose, term money, treasury bills, commercial bills, certificate of deposits, commercial papers, inter-bank participation

certificates, inter-corporate deposits, swaps futures, options, etc. and is concerned to deal in a particular type of assets. Its chief characteristic is its relative liquidity. All the sub-markets have close inter-relationships and free movement of funds from one sub-market to another. There has to be a network of a large number of participants which will add greater depth to the market.

- iv) The activities in the money market tend to concentrate in some centre which serves a region or an area; the width of such area may vary considerably in some markets like London and New York which have become world financial centres. Where more than one market exists in a country, with screen-based trading and revolutions in information technology, such markets have rapidly become integrated into a national market. In India, Mumbai is emerging as a national market for money market instruments.
- v) An important feature of the money market is its' impersonal character so that competition will be relatively pure. The money market is entirely different where no visible shops and counters exist.
- vi) Trading is a wholesale process as the volume of funds or financial assets traded in the money market is very large.

10.3 OBJECTIVES AND FUNCTIONS OF MONEY MARKET

Objectives: The major objectives of money market are enlisted below:

- i) A parking place to employ short-term surplus funds.
- ii) Room for overcoming short-term deficits.
- iii) Reasonable access to users of short-term funds to meet their requirements quickly, adequately and at reasonable costs.
- iv) The Central Bank to influence and regulate liquidity in the economy through its intervention in this market.

The money market is an important part of the economy. It plays a very significant role in facilitating the various sectors of the economy in the following manner:

- i) **Financing Trade:** The money market provides financing to local and international traders who are in urgent need of short-term funds. It provides a facility to discount bills of exchange, and thereby providing finance to pay for goods and services. International traders benefit from the acceptance houses and discount markets. The money market also makes funds available for other units of the economy such as agriculture and small-scale industries.
- ii) **Help in Implementing Central Bank Policies:** The money market provides a base and mechanism for effective implementation of the monetary policy. Through the money market, the central bank can

perform its policy-making function efficiently. Integrated money markets help the central bank to influence the sub-markets and thereby getting its monetary policy implemented. Central Bank ensures that the liquidity and the short-term interest rates are consistent with the monetary policy.

- iii) **Growth of Business and Industries:** The money market is important for businesses because it allows companies with a temporary cash surplus to invest in short-term securities; conversely, companies with a temporary cash shortfall can sell securities or borrow funds on a short-term basis. In essence, the market acts as a repository for short-term funds and to finance the working capital needs. Although the money market does not provide long-term loans, it influences the capital market and can also help businesses obtain long-term financing. The capital market benchmarks its interest rates based on the prevailing interest rate in the money market.
- iv) **Self-Sufficiency to Commercial Banks:** The money market provides commercial banks with a ready market where they can invest their excess reserves and earn interest while maintaining liquidity. Short-term investments such as bills of exchange can easily be converted to cash to support customer withdrawals. Also, when faced with liquidity problems, they can borrow from the money market on a short-term basis as an alternative to borrowing from the central bank. The advantage of this is that the money market may charge lower interest rates on short-term loans than the central bank typically does.
- v) **Other functions:** Promotes economic growth by making funds available to various units in the economy such as agriculture, small-scale industries, etc. and makes available investment avenues for short-term periods. It helps in generating savings and investments in the economy. The money market provides non-inflationary sources of finance to the government. It is possible to raise short-term loans by issuing treasury bills which does not lead to an increase in the prices. In short, the functions of the money market are:
 - i) It provides *an equilibrating mechanism* for evening out short-term surpluses and deficits.
 - ii) A focal point for central bank intervention for influencing liquidity in the economy as per monetary policy.
 - iii) Reasonable access to the users of short-term money to meet their requirements at realistic prices i.e., rate of interest.

10.4 REQUISITES FOR A GOOD FUNCTIONING MONEY MARKET

A good money market is one of the prerequisites *for a nation's economic progress* and the effective implementation of monetary policy. A money market is considered '*developed*' if it satisfies the following conditions:

- i) Institutional development, relative political stability and a reasonably well-developed highly organised commercial banking and financial systems.
- ii) The presence of a strong and efficient Central bank ensures credibility in the system, supervision of the players in the market and facilitation of the implementation of monetary policy by way of open market operations.
- iii) Promote financial mobility in the form of inter-sectoral flows of funds.
- iv) Continuous supply of negotiable securities such as bills of exchange, treasury bills, short-term Government bonds, etc. The market should have varied instruments with distinctive maturity and risk profiles to meet the varied appetites of the players in the market. Multiple instruments add strength and depth to the market.
- v) Existence of several sub-markets, each specialising in a particular type of short-term asset. The larger the number of sub-markets, the broader and more developed will be the structure of the money market. The funds should move from one segment of the market to another to exploit the advantages of arbitrage opportunities. The sub-markets should form an integrated structure in which every segment of the money market is in an intimate relationship with each other. This is essential to ensure uniformity of interest rates in various sub-markets and also for the free flow of funds. This helps channelising savings into productive investments (like working capital).
- vi) The market should be integrated with the rest of the markets in the financial system to ensure perfect equilibrium. Efficient payment systems for clearing and settlement of transactions. The introduction of Electronic Funds Transfer (EFT), Depository System, Delivery versus Payment (DVP), High-Value Inter-bank Payment System, etc. are essential prerequisites for ensuring a risk-free and transparent payment and settlement system.
- vii) Unlike capital markets or commodity markets, trading in the money market is concluded over the telephone followed by written confirmation from the contracting parties. Hence, integrity is *sine qua non*. Thus, banks and other players in the market may have to be licensed and effectively supervised by regulators.

There are not many developed money markets in the world which have all the above-said features. London and New York money markets are the best examples of developed money markers. Other examples of international financial markets are Paris, Zurich, Frankfurt, Amsterdam and Vienna which contain most of the features of developed money markets.

Check Your Progress 1

1) Define the Money Market.

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2) Describe main features of Money Market.

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3) What constitutes a good Money Market?

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10.5 MONEY MARKET IN INDIA

The Indian money market has a dichotomic structure. It has a simultaneous existence of both the organized money market as well as unorganised money markets.

10.5.1 Organised Sector

The *organised* segment is quite integrated and well-organised. The organised money market is in full control of the RBI. In organized markets, there are standardized rules and regulations governing their financial dealings. There is also a high degree of institutionalization and instrumentalization. These markets are subject to strict supervision and control by the RBI or other regulatory bodies. The nature of the money market transactions is such that they are large in amount and high in volume. Thus, the entire market is dominated by a small number of large players. At the same time, the money market in India is yet underdeveloped. The organized money market in India is not a single market but is a conglomeration of markets of various instruments which can broadly be put into the *call money market*, the *bill market*, and *other sub-markets*.

Mumbai, Kolkata, Chennai, Delhi, Bangalore and Ahmedabad are the leading centres of the organised sectors of the Indian money market. The Mumbai money market is well organised, having head offices of the RBI and different commercial banks, two leading well-developed stock exchanges, the bullion exchange and a fairly organised market for Government securities. All these have placed the Mumbai money market at par with the New York money market of the USA and the London money market of England.

There are different varieties of money market instruments, but all have a few things in common. In India, the introduction of a host of new instruments [certificates of deposit (CDs), commercial paper (CPs), inter-bank participation certificates, and *money market mutual funds* (MMMF)] have made the Indian money market a vibrant one. The instruments of the money market are characterized by short duration, large volume and deregulated interest rates. The instruments are highly liquid. They also are safe investments owing to the issuer's inherent financial strength.

- i) **The call money market:** Call money refers to the unsecured segment of the money market that is designed for the management of liquidity for a very short period — mostly overnight. If the period is more than two days and up to 14 days it is called '*Notice money*'. Money lent for 15 days to 1 year is called '*Term money*'. The call market enables banks to even out their day-to-day demand for and supply of short-term funds. This market is a purely unsecured market as no collateral is offered for securing the funds and there are no brokers involved. Settlement is done between the participants through the current account maintained with the RBI. The ease of transacting as well as the low transaction costs arising from the least documentation and same-day settlement of funds act as strong incentives for banks to access the call money market for managing intra-day funding requirements.

The money invested by banks in the call money market provides high liquidity with limited profitability. The call money market in India takes the form of an *inter-bank call money market* wherein the banks with surplus lend to the needy banks. Banks usually borrow funds in this market to *meet their statutory obligations* about the keeping of reserves with the Reserve Bank. The rate of interest in this market is highly volatile and sensitive to changes in the demand and supply of funds, with the changes taking place several times during the day. *It is looked upon as the barometer of the money market.* The call money rates also move in certain phases. For example, April, May and October generally witness high rates and high volatility while in January and August, the rates are lower and steady. Various measures have been taken by RBI to reduce volatility in call rates. The setting up of the *Discount and Finance House of India* (DFHI) in 1988 was to broaden the base of the call loan market. DFHI has now assumed the role of *market maker* in the call loan market but due to its inadequate resources, it has not been able to supply enough funds to check volatility.

This is the most important instrument in terms of volume of transactions and in the sense that *rates in this market are indicative of conditions prevailing in the money market.* The rates of other instruments are linked to the rates obtained in the call market. The principal call loan centre is Mumbai which accounts for nearly 85 to 90 per cent of the business transacted. The other centres are *Kolkata*,

Delhi, Chennai, Bengaluru and Ahmedabad. The major players in this market are commercial banks and DFHI who can both borrow and lend. Select financial institutions like UTI, LIC, IDBI, NABARD etc. have been permitted to operate in the call market as lenders which helps them in effective cash management.

ii) The bill market: The bill market can be divided into two: (i) the treasury bills market, and (ii) the commercial bills market.

a) Treasury bills: The Union Government raises operational cash by issuing treasury bills. *The Treasury bill* is a short-term government security having a maturity period ranging from a few days to a few months. The instrument is sold by the Central Bank on behalf of the government. Treasury bills are *promissory notes* and at present, these are being issued for 3 maturities viz. (i) 91 days, (ii) 182 days, and (iii) 364 days. Treasury bills are zero coupon securities and pay no interest. Instead, they are issued at a discount and redeemed at the face value at maturity. For example, a 91-day Treasury bill of ₹100/- (face value) may be issued at say ₹ 98.20, that is, at a discount of say, ₹1.80 and would be redeemed at the face value of ₹100/-. The return to the investors is the difference between the maturity value or the face value (that is ₹100) and the issue price. The treasury bills are generally sold by auction to the highest bidder. Being government papers, *the treasury bills enthuse the confidence* of a greater number of investors. Treasury bills are good papers for commercial banks to invest their short-term funds. There is no default risk associated with such instruments. They are *approved assets for Statutory Liquidity Ratio (SLR)*. *DFHI is the market maker in these instruments.* This is the most important instrument for hedging against volatility in the call loan market. All T-Bills auctions are Price-based and are auctioned on Multiple-Price basis.

b) Commercial bill market: bills rediscounting scheme (BRS): This scheme has been operative since 1970. Commercial banks are permitted to issue derivative usance promissory notes for maturity not more than 90 days backed by genuine trade bills of similar tenor. This can be further rediscounted by the holder by endorsement and delivery. The stamp duty on this usance promissory note was waived in 1989. *All commercial banks are eligible to issue usance promissory notes* which can be discounted by commercial banks, select financial institutions and urban cooperative banks. DFHI participates actively in this market and provides bid rates daily. This assures liquidity to the instruments. This is a very important source of funds for commercial banks as borrowing under BRS is not included as a liability while calculating Net Demand and Time Liability (NDTL). Due to high